

the institutional framework it needs to attract more investment for its growing energy needs. Between April 2000 and June 2019, the industry attracted US\$ 14.54 billion in Foreign Direct Investment (FDI), accounting for 3 per cent of total FDI inflows in India. Also, Government allows private-sector investment in coal mining, and has opened up the country's oil and gas retail markets.

Pricing Reforms: The country is taking advantage of the important energy pricing reforms in the coal, oil, gas, and electricity sectors which are fundamental to further opening the energy market and improving its financial health.

Energy Security: India's electricity security has improved markedly through the creation of a single national power system and major investments in thermal and renewable capacity. It is taking significant steps to enhance its energy security by fostering domestic production through the most significant upstream reform of India's Hydrocarbon Exploration and Licensing Policy (HELP) and building up dedicated oil emergency stocks in the form of a strategic petroleum reserve.

Around 750 million people in India gained access to electricity between 2000 and 2019, reflecting strong and effective policy implementation. As of April 28, 2018, 100 per cent village electrification achieved under Deen Dayal Upadhyaya Gram Jyoti Yojana (DDUGJY). The country's energy deficit reduced to 0.7 per cent in Financial Year (FY) 18 from 4.2 per cent in FY14. Also, the country's rank jumped to 24 in 2018 from 137 in 2014 on World Bank's Ease of doing business - "Getting Electricity" ranking.

Renewable Energy: India's power system is currently experiencing a major shift to higher shares of variable renewable energy. With solar and wind power becoming cheaper, cleaner sources of energy have also become affordable. As of November 2020, the country's renewable power capacity is the 4th largest in the world generating 136 GW, which is about 36 per cent of our total capacity.

The government is pursuing a very ambitious deployment of renewable energy, notably solar, and has boosted energy efficiency through innovative programmes such as replacing incandescent light bulbs with LEDs (under the Ujala scheme). And it is addressing the serious health problems caused by air pollution for its major cities, providing 80 million households with liquefied petroleum gas connection (under the Pradhan Mantri Ujjwala Yojana scheme), thereby reducing the exposure from biomass cooking stoves, a major cause of respiratory diseases.

Financial Health: The government is working to improve the financial viability of the power sector which is dealing with surplus capacity, lower utilisation of coal and natural gas plants, and increasing shares of variable renewable energy. For instance, Ujwal Discoms Assurance Yojana (UDAY) was launched by the Government of India to encourage operational and financial turnaround of State-owned Power Distribution Companies (DISCOMS).

The power generation situation in the country has improved in the last few years. In June 2017, the Minister of Power announced that India has become a power surplus country, with no shortage of electricity or coal. Despite this, the sector continues to face several issues. Access to power and the quality of power supplied to consumers is still poor. India also continues to face both energy deficit (0.7%) and peak deficit (2%). The deficit situation is worse in certain states such as Jammu and Kashmir, and the north-eastern states. Despite all villages being

electrified, continuous supply of electricity continues to remain a challenge. Another key issue is the poor financial health of the electricity distribution companies, which is affecting their ability to buy power and improve the supply network. While their debt to banks was addressed to a certain extent by UDAY, the debt they owe to power plants remains a concern.

5.3.4 Banking

The Indian banking system consists of 18 public sector banks, 22 private sector banks, 46 foreign banks, 53 regional rural banks, 1,542 urban cooperative banks and 94,384 rural cooperative banks as of September 2019. The banking industry infrastructure has been undergoing revolution wherein the information technology and electronic funds transfer system have emerged as the twin pillars of modern banking development. Online infrastructure and internet connectivity allow digital and direct transfer of Government services and subsidy benefits to the citizens' bank accounts. The industry has undergone structural transformation through the years as directed by the following policies and reforms:

- i) First Phase of Banking Sector Reforms based on the Narasimham committee report 1991 included the following measures— lowering Statutory and Liquidity Ratio (SLR) and Cash Reserve Ratio (CRR), Prudential norms, Capital Adequacy Norms, Deregulation of Interest Rates, Recovery of Debts by setting up Special Recovery Tribunals, enhanced competition from new Private sector banks (which were allowed to raise capital contribution from foreign institutional investors up to 20 per cent and from NRIs up to 40 per cent).
- ii) Second Phase of Banking Sector Reforms based on Narasimham committee report 1998 included the following measures— Opening up of New Areas (Insurance, credit cards, asset management, leasing, gold banking, etc.) and New Instruments (Interest rate swaps, cross currency forward contracts, etc.), Risk Management and Strengthening Technology (with electronic funds transfer, centralised fund management system, etc.), increase in FDI limit, adoption of Global Standards and Information Technology (by introduction of e-banking, telephone banking, etc.), management of NPA, guidelines for Anti-Money laundering, Base Rate System of interest rates, etc.
- iii) Financial Inclusion: Financial Inclusion is a national priority as it is an enabler for inclusive growth by providing an avenue to the poor for bringing their savings into the formal financial system, an avenue to remit money to their families in villages besides taking them out of the clutches of the usurious money lenders. A key initiative towards this commitment is the Pradhan Mantri Jan Dhan Yojna (PMJDY), which involves ensuring access to financial services, namely, Banking/Savings & Deposit Accounts, Remittance, Credit, Insurance, Pension in an affordable manner.

One of the leading issues concerning the banking sector is that of mounting stressed assets which have plagued the banking sector, especially the public sector banks since long. Several initiatives have been undertaken and are also underway to strengthen the regulatory and supervisory frameworks aimed at increasing the resilience of the banking system. These include:

Recapitalisation of Public Sector Banks: Government announced Indradhanush plan for revamping Public Sector Banks (PSBs) in August 2015 by infusing capital

of Rs. 70,000 crore over a period of four financial years. Capital infusion is aimed at supplementing the achievement of regulatory capital norms by PSBs through their own efforts and, in addition, based on performance and potential, augmenting their growth capital.

Merger of Public Sector Banks: Since 2016, effective action has been undertaken to consolidate Public Sector banks by way of amalgamation. The merger of banks is expected to facilitate the creation of strong and competitive banks in the Public Sector space to meet the credit needs of a growing economy, absorb shocks and have the capacity to raise resources without depending unduly on the State exchequer.

In 2014, the Committee to Review Governance of Boards of Banks in India (P.J. Nayak Committee) was also constituted. Its key recommendations focused on enhancing the governance and management of public sector banks which continued to have a large presence in India's banking sector.

Resolution of Stressed Assets: The resolution mechanism is instituted through Insolvency and Bankruptcy Code (IBC), 2016 which provides a market mechanism for time-bound insolvency resolution enabling maximisation of value.

5.3.5 Housing and Urban Infrastructure

Usually, urban infrastructure builds up gradually in sync with the progress of industrialisation, as has been experienced by the western world. In contrast to this, in India, urbanisation and the attached pressure to build the urban infrastructure have not been gradual in sync with the industrial growth. This is because of the rapid pace with which the urban population has been growing. This increase is because of two reasons— first is the natural increase of urban population and second is the migration from rural to urban areas. This migration has been more so surging post 1990 reforms when Indian economy and especially the urban areas started to experience rapid economic growth. According to Census 2011, 377.1 million Indians comprising 31.14 per cent of the country's population lived in urban areas. As per the estimates by the UN, urban India accounted for close to 34 per cent of its total population in 2018 and the number is forecasted to exceed 50 per cent by 2046. (Refer Table 5.4). This necessitates investments in housing, road network, urban transport, water supply, power-related infrastructures, smart cities, and other forms of urban management.

Table 5.4: Urbanisation in India

	Persons in Million Numbers		Decadal Growth in Population %	
	2001	2011	1991-2001	2001-2011
Total	1029	1210	21.5	17.6
Rural	743	833	18.1	12.2
Urban	286	377	31.5	31.8

Urbanisation is a major driving force behind Indian economic growth and contributes close to 60 per cent of its Gross Domestic Product. While urbanisation process resulted into economic growth in the country, but equally it is true that, there exist number of problems associated with the urbanisation. Some of them